

ENTREPRENEURSHIP DEVELOPMENT AND STARTUPS

Course Code: 315002 Practical No.: 3

LLO 3.1: Explore probable risks for identified enterprise.

CASE STUDY ON RISKS ASSOCIATED WITH ENTERPRISE

Selected Enterprise: NVIDIA Corporation

Note: This case study follows the same format as the provided reference practical and is prepared for NVIDIA Corporation.

1. Aim

To study the probable risks associated with NVIDIA Corporation, analyze their causes and possible impacts, and suggest suitable measures for managing these risks.

2. Introduction of the Enterprise

NVIDIA Corporation is a global technology enterprise known for accelerated computing, graphics processing units (GPUs), artificial intelligence (AI) platforms and related software. Its businesses span data center computing, gaming, professional visualization and automotive solutions. NVIDIA operates a full-stack platform that combines hardware, networking, software libraries and developer tools to support AI and accelerated computing applications.

3. Major Business Activities

1. Design and development of GPUs, accelerated computing platforms and AI processors
2. Data center computing, AI training and inference platforms and networking technologies
3. Gaming and creator products such as GeForce GPUs, RTX technologies and related software
4. Professional visualization, digital twins and simulation solutions including NVIDIA Omniverse
5. Automotive and autonomous-driving computing platforms such as NVIDIA DRIVE
6. Development and support of AI, developer, cloud and enterprise software platforms

4. Case Study / Risk Background

NVIDIA operates in a rapidly changing semiconductor and AI industry where business performance depends on technology leadership, strong customer demand, advanced manufacturing capacity, global supply chains and compliance with evolving regulations. NVIDIA reports risks related to competition, changing industry and customer requirements, supply and manufacturing constraints, concentration of customers and partners, export controls and geopolitics, information systems and cybersecurity, intellectual property, key personnel, and fluctuations in operating results. The company also faces risks arising from rapid product transitions and the need to maintain a broad software and developer ecosystem.

5. Identification and Analysis of Probable Risks

- 1. Market and Competition Risk:** NVIDIA competes with semiconductor companies, custom accelerator providers and large cloud companies developing internal AI hardware and software. Rapid changes in AI architectures or customer preferences may reduce demand for particular products or put pressure on market share and margins. **Risk Level: High.**
- 2. Supply-Chain and Manufacturing Concentration Risk:** NVIDIA depends on a concentrated advanced manufacturing ecosystem, including TSMC for leading-edge chip fabrication and a limited number of advanced packaging and assembly suppliers. Capacity constraints, natural disasters, geopolitical disruption or supplier interruptions could delay production and deliveries. **Risk Level: High.**
- 3. Export Controls and Geopolitical Risk:** U.S. export controls and changing trade policies can restrict the sale of advanced GPUs and related technologies to certain countries and customers. Additional restrictions may reduce addressable markets, increase compliance costs, disrupt distribution and strengthen competitors that are less affected by such controls. **Risk Level: High.**
- 4. Technology and Product Transition Risk:** The AI and accelerated-computing market evolves very quickly. Failure to deliver new GPU architectures, networking products or software platforms on time, or an unsuccessful product transition, could cause NVIDIA to lose technical leadership or leave customers waiting for alternative solutions. **Risk Level: High.**
- 5. Customer and Partner Concentration Risk:** A significant portion of NVIDIA revenue is associated with a limited number of major customers, partners and distributors. Changes in purchasing plans, delays in large deployments, loss of a major customer or shifts toward internally designed alternatives could affect revenue and business performance. **Risk Level: High.**
- 6. Cybersecurity and Information Systems Risk:** NVIDIA relies on information systems, cloud services, software infrastructure and digital collaboration across a global organization. Cyberattacks, unauthorized access, system outages or compromised software could disrupt operations, expose sensitive information and damage customer trust. **Risk Level: High.**
- 7. Regulatory, Legal and Intellectual Property Risk:** NVIDIA is subject to complex laws involving export controls, antitrust, privacy, intellectual property, product regulations, cybersecurity and the responsible use of AI. Legal disputes, regulatory investigations or IP claims may create financial costs, restrictions or operational uncertainty. **Risk Level: Medium.**
- 8. Talent and Financial Performance Risk:** NVIDIA relies heavily on highly skilled engineers, researchers and leaders, while its financial results can fluctuate because of product cycles, demand changes, supply commitments and

macroeconomic conditions. Difficulty attracting key talent or unexpected earnings volatility can affect growth and investor confidence. **Risk Level: Medium.**

6. Risk Management Measures

1. Market risk: Maintain strong research and development, monitor competitor roadmaps and customer requirements, and continue diversifying applications across AI, gaming, professional visualization and automotive markets.
2. Supply-chain risk: Use multi-source strategies where practical, secure capacity commitments, strengthen supplier relationships and maintain contingency planning for manufacturing and logistics disruptions.
3. Export and geopolitical risk: Maintain rigorous export-control compliance, monitor regulatory changes continuously, and design product and market strategies that reduce dependence on restricted markets where possible.
4. Technology risk: Invest continuously in next-generation architectures, networking, software and developer tools, while validating product roadmaps with customers and ecosystem partners.
5. Customer concentration risk: Broaden the customer base, expand enterprise and sovereign AI opportunities, and develop a wider ecosystem of cloud providers, system makers and software partners.
6. Cybersecurity risk: Strengthen identity and access controls, security monitoring, vulnerability management, incident response, secure software development and employee security awareness.
7. Regulatory and IP risk: Maintain strong legal and compliance teams, protect intellectual property, monitor antitrust and AI regulations, and perform proactive compliance reviews before major product or market decisions.
8. Talent and financial risk: Retain key technical employees, develop succession plans, manage operating expenditures carefully and use scenario planning for demand, capacity and macroeconomic uncertainty.

7. Conclusion

The NVIDIA case shows that a technology enterprise can experience several interconnected risks while operating in a high-growth and highly competitive industry. Competition, concentrated manufacturing capacity, export controls, rapid technological change, customer concentration, cybersecurity, regulation and talent requirements can materially affect business performance. Effective enterprise risk management, continuous innovation, supply-chain planning, regulatory compliance and proactive cybersecurity can help NVIDIA protect its competitive position and sustain long-term growth.

8. Learning from the Case

An entrepreneur should identify probable risks before they become major problems. The NVIDIA case demonstrates that risk management is not limited to financial loss; it also includes technology, supply chain, regulatory, cybersecurity, talent and market risks. Successful enterprises continuously monitor external changes, prepare alternatives and take timely corrective action.

References: NVIDIA Corporation Annual Report (Fiscal 2026); NVIDIA Investor Relations - Corporate Profile and Financial Results; NVIDIA official product and industry information; U.S. SEC filings containing NVIDIA risk factors.